

The Importance of AI Governance and Data Governance in Modern Enterprises



As artificial intelligence turns ubiquitous, AI governance and data governance frameworks will be critical in ensuring that AI-based solutions check all the right boxes.

AI governance and data governance have become crucial in ensuring the development of reliable, ethical, and high-quality AI solutions. These governance frameworks are interlinked and vital for the success of AI-driven initiatives, especially in large organisations where data integrity and ethical AI usage are paramount.

AI governance refers to the

framework of policies, practices, and structures that ensure AI systems are developed and operated ethically, transparently, and responsibly. Data governance, on the other hand, focuses on managing data quality, consistency, and security throughout its lifecycle.

During AI solution development, data governance ensures that the data used is accurate, consistent, and free from bias, which in turn supports AI

governance by enabling transparent and accountable AI systems.

Industrial use cases

Banking: In banking, AI governance is crucial for mitigating risks of data breaches and financial fraud. For instance, AI models used for credit scoring must be transparent and fair, avoiding biases against certain demographics.